

XAU
WTI
XAG
BTC
DJI

POSITION SIZING & RISK PROTOCOL

The Weekly 5-Asset Risk Cycle

Gold • Oil • Silver • Bitcoin • Dow Jones

One percent of capital per asset. Five positions per cycle.

Nothing taken below a 1:3 reward-to-risk ratio.

1%

MAX RISK PER ASSET

5

ASSETS PER CYCLE

5%

MAX WEEKLY HEAT

3-5R

TARGET PER TRADE

SECTION 01

The Constitution

Nine rules. If a trade breaks any one of them it does not get taken, however good it looks. Everything else in this document exists only to make these nine rules mechanical.

RULE	
R1	One percent, no exceptions Risk on any single position is 1.00% of current account equity, measured from entry to the protective stop. Not 1.2% because the setup is clean. Not 2% to make back yesterday.
R2	Five assets, one cycle The cycle is one trading week: Monday open to Friday close. XAUUSD, WTIUSD, XAGUSD, BTCUSD and DJIUSD each get at most one open position per cycle. Five slots. No sixth instrument.
R3	Maximum heat is 5% With all five slots filled, total capital at risk is 5.00%. That is the ceiling for the account, and it is reduced by the correlation caps in Section 06.
R4	Minimum 1:3, target 1:5 The stop is placed where the idea is proven wrong; the target is placed at the next real structural level. If the distance between them is not at least three times the stop, there is no trade.
R5	The stop is set before entry Entry, stop and target are defined and the order is bracketed before the position exists. A stop is never widened once live. It may only move in the direction of profit.
R6	Size is an output, never an input Position size is calculated from the stop distance, never chosen first. A wide stop means a small position, not a bigger risk.
R7	Two strikes per asset After two stop-outs on the same asset inside one cycle, that asset is closed for the week. Its slot stays empty.
R8	The weekly circuit breaker At -3R cumulative in a cycle, trading stops until the next Monday. At -6R in a calendar month, size halves to 0.5% until the account makes a new equity high.
R9	Unjournalled trade, invalid trade Every position is logged with its R multiple and its grade before the next one is opened. The log in Section 08 is the scoreboard.

READ THE BRIEF THIS WAY

- **1R = 1% of equity = the loss taken if the stop is hit.** Every number in this document is expressed in R so that it stays true at any account size.
- A 1:3 trade returns +3R (+3% of equity) when it works and -1R (-1%) when it does not. A 1:5 returns +5R against the same -1R.
- "Heat" means capital currently exposed: open positions multiplied by their distance to stop.

SECTION 02

Why 1% and 1:3 Work Together

The two constraints are not independent. A 1:3 floor is what makes a 1% risk survivable, and a 1% risk is what makes a low win rate affordable while you wait for the 1:3 to pay.

Break-even win rate

A strategy is profitable the moment the win rate clears $1 / (1 + R)$. This is the single most important number in the plan, because it tells you how wrong you are allowed to be:

REWARD : RISK	BREAK-EVEN WIN RATE	WHAT THAT BUYS YOU
1:3	25.0%	You may lose 3 of every 4 trades and still break even.
1:4	20.0%	You may lose 4 of every 5 trades and still break even.
1:5	16.7%	You may lose 5 of every 6 trades and still break even.

This is the whole argument for the 1:3 floor. It converts trading from a prediction problem into a patience problem.

Expectancy per trade and per cycle

$$E = (\text{Win\%} \times R) - (\text{Loss\%} \times 1)$$

Expectancy in R per trade. Multiply by 5 for a full cycle of five assets.

WIN RATE	1:3 / TRADE	1:3 / CYCLE	1:4 / TRADE	1:4 / CYCLE	1:5 / TRADE	1:5 / CYCLE
20%	-0.20R	-1.0%	+0.00R	+0.0%	+0.20R	+1.0%
25%	+0.00R	+0.0%	+0.25R	+1.2%	+0.50R	+2.5%
30%	+0.20R	+1.0%	+0.50R	+2.5%	+0.80R	+4.0%
35%	+0.40R	+2.0%	+0.75R	+3.7%	+1.10R	+5.5%
40%	+0.60R	+3.0%	+1.00R	+5.0%	+1.40R	+7.0%
50%	+1.00R	+5.0%	+1.50R	+7.5%	+2.00R	+10.0%

Cycle figures assume all five slots are filled and every trade risks a clean 1R. They are arithmetic, not a forecast: they describe what a given win rate is worth, not what your win rate will be. Costs (spread, commission, swap, slippage) typically shave 0.05R to 0.15R per trade and are not included.

What the 1% ceiling actually protects

CONSECUTIVE 1R LOSSES	RESULTING DRAWDOWN	GAIN NEEDED TO RECOVER	READING
5	4.90%	5.15%	Routine. Expect this several times a year.
8	7.73%	8.37%	Uncomfortable, but statistically ordinary at a 30% win rate.
10	9.56%	10.57%	The circuit breakers in R8 will have fired well before this.
15	13.99%	16.27%	System review required before any further risk is taken.
20	18.21%	22.26%	Stop. Something structural is broken.

Drawdowns are compounded: each loss risks 1% of what is left, so ten losses cost 9.56% and need a 10.57% gain to repair. Run the same ten losses at 5% risk and the account is down 40.1% and needs a 67.0% gain to get back. That asymmetry between the two columns, not the upside, is the entire case for the 1% number.

SECTION 03

Position Sizing

Size is never chosen. It is solved for. Fix the risk at 1%, measure the stop, and the correct number of units falls out of the arithmetic.

$$\text{UNITS} = (\text{Equity} \times 0.01) / (\text{Stop Distance} \times \text{Value Per Unit})$$

Stop distance in the instrument's own quote units. Value per unit is what one full point of price movement is worth on one unit of the contract.

Contract values - verify each one with your broker

Contract specifications differ materially between brokers, and silver and the Dow are the two that catch people out. Fill the last column in from your own platform before sizing a single trade: an error here is an error in every position you take afterwards.

INSTRUMENT	STANDARD LOT (1.00)	QUOTED IN	TYPICAL VALUE / LOT	MIN. STEP	YOUR BROKER
XAUUSD Gold	100 troy oz	USD per \$1.00 move	\$100.00	0.01	_____
WTIUSD Crude oil	1,000 barrels	USD per \$1.00 move	\$1,000.00	0.01	_____
XAGUSD Silver	5,000 troy oz	USD per \$1.00 move	\$5,000.00	0.001	_____
BTCUSD Bitcoin	1 BTC	USD per \$1.00 move	\$1.00	0.01	_____
DJIUSD Dow Jones 30	1 index point	USD per 1.0 point	\$1.00 to \$10.00	0.10	_____

The Dow is deliberately shown as a range. Some brokers quote \$1 per point per lot, others \$10, and a few price the contract in the index currency rather than USD. Confirm it, then never assume it again.

Worked cycle - \$10,000 account, \$100 risk per asset

ASSET	ENTRY	STOP	STOP DIST.	VALUE / UNIT	POSITION SIZE	RISK
XAUUSD	\$3,412.00	\$3,400.00	\$12.00	\$100.00	0.083 lots	\$100
WTIUSD	\$78.40	\$77.20	\$1.20	\$1,000.00	0.083 lots	\$100
XAGUSD	\$38.90	\$38.30	\$0.60	\$5,000.00	0.033 lots	\$100
BTCUSD	\$92,400	\$90,600	\$1,800	\$1.00	0.056 BTC	\$100
DJIUSD	44,150	43,850	300 pts	\$1.00	0.333 lots @ \$1/pt	\$100

Prices above are illustrative placeholders for the arithmetic. Note what the table demonstrates: five completely different instruments, five wildly different position sizes, and identical risk on every one. That is the entire point of the method.

The 1% in cash, by account size

EQUITY	1R (RISK / ASSET)	MAX HEAT (5R)	CIRCUIT BREAKER (-3R)	A 1:3 WINNER (+3R)	A 1:5 WINNER (+5R)
\$1,000	\$10.00	\$50.00	\$30.00	\$30.00	\$50.00
\$2,500	\$25.00	\$125.00	\$75.00	\$75.00	\$125.00
\$5,000	\$50.00	\$250.00	\$150.00	\$150.00	\$250.00
\$10,000	\$100.00	\$500.00	\$300.00	\$300.00	\$500.00
\$25,000	\$250.00	\$1,250.00	\$750.00	\$750.00	\$1,250.00
\$50,000	\$500.00	\$2,500.00	\$1,500.00	\$1,500.00	\$2,500.00
\$100,000	\$1,000.00	\$5,000.00	\$3,000.00	\$3,000.00	\$5,000.00

Recalculate 1R from equity every Monday morning, not every trade. Sizing off intra-week equity makes you smaller after losses and larger after wins inside the same cycle, which quietly changes the strategy you are running.

Blank worksheet - one per cycle

Fill this in on Sunday, before the market can influence the arithmetic. The last column is the only check that matters: every row must read the same number.

ASSET	ENTRY	STOP	STOP DIST.	VALUE / UNIT	POSITION SIZE	RISK = 1R?
XAUUSD						
WTIUSD						
XAGUSD						
BTCUSD						
DJIUSD						

THE SANITY CHECK THAT CATCHES EVERY SIZING ERROR

Once the size is calculated, multiply it back out: **position size x stop distance x value per unit**. If that does not come back to 1R in cash, the value-per-unit figure is wrong for your broker - and it will be wrong on every trade you place in this instrument until you fix it. This is the single most common way a disciplined 1% plan quietly becomes a 3% one.

SECTION 04

Placing the Stop and the Target

The 1:3 floor is only honest if the stop is placed where the trade is genuinely wrong. A stop tightened purely to manufacture a 1:5 ratio is not a better trade, it is a worse one with better arithmetic on paper.

Stop placement, in order of precedence

1. STRUCTURE

Place the stop beyond the swing high or low that invalidates the idea, plus a buffer of $0.25 \times \text{ATR}(14)$ to clear the noise around the level. This is the default.

2. VOLATILITY

Where structure is unclear, use $1.5 \times \text{ATR}(14)$ on your entry timeframe. Where structure and volatility disagree, take the wider of the two and accept the smaller position.

3. NEVER

A stop chosen because it produces a convenient lot size, or because a tighter one "makes the R:R work". If the honest stop kills the 1:3, the trade is the problem.

The scale-out that produces a 1:3 to 1:5 blend

Taking the full position off at 3R caps you at 3R forever. Running the whole position to 5R gives back winners that stall at 4R. The split below resolves both, and it is what the "1:3 to 1:5" range in this plan actually means in practice:

STAGE	SIZE ACTED ON	CONTRIBUTION	MECHANICS
Entry	100% of position	-	Stop at full 1R risk. Bracket order in place before fill.
TP1 at 3R	Close 50%	+1.50R banked	Move the stop on the remaining half to break-even at the same moment. The trade can no longer lose.
Trail	Remaining 50%	-	Trail behind each new swing, or behind a $2 \times \text{ATR}(14)$ band, whichever is further from price.
TP2 at 5R	Close 50%	+2.50R banked	Total on the trade: +4.00R.

OUTCOME	RESULT	NOTE
Stopped out before TP1	-1.00R	The ordinary outcome. Roughly two thirds of trades.
TP1 hit, then stopped at break-even	+1.50R	The reason TP1 exists. A failed trade that still pays.
TP1 hit, trailed out between 3R and 5R	+1.50 to +4.00R	The most common winning outcome.
Both targets filled	+4.00R	The trade the whole framework is built to catch.

THE ONE THING THIS STRUCTURE COSTS YOU

Scaling out at TP1 caps the best case at +4.00R instead of +5.00R, and converts some would-be 5R runners into +1.50R break-even exits. You are buying a smoother equity curve and a much higher proportion of trades that do not lose money, and paying for it in average winner size. That is a deliberate trade of expectancy for durability. If your record shows you can sit through the pullback from 3R to 5R without interfering, running the full position is mathematically better - and harder.

SECTION 05

The Five Assets

Same 1% on each, but they do not behave the same way. Each profile below is the reason a stop on one instrument cannot be reasoned about using the habits of another.

XAUUSD GOLD

Character

Trends cleanly and respects horizontal levels better than anything else in the basket. Driven by real yields, the dollar and haven demand.

Best hours

London open and the US session. Thin and prone to false breaks during the Asian session.

Moves it

US CPI, FOMC decisions and dot plots, NFP, real-yield moves, geopolitical escalation.

RISK NOTE Sharp two-way spikes on data releases can hunt an obvious stop and then resume the original direction.

WTIUSD CRUDE OIL

Character

The most headline-sensitive instrument here and the most prone to gaps. Inventory-driven in the short run, supply-policy-driven over weeks.

Best hours

US session. Reliably violent around 10:30 ET on Wednesdays.

Moves it

EIA crude inventories (Wed 10:30 ET), API (Tue), OPEC+ meetings, supply disruption headlines, contract rollover.

RISK NOTE Never hold an oil position through an EIA print or an OPEC+ meeting on a 1:3 plan. Widen the stop or stand aside.

XAGUSD SILVER

Character

Gold's higher-beta cousin with an industrial demand leg. Typically moves 1.5x to 2.5x gold's percentage range, with far worse liquidity.

Best hours

London and US overlap. Spreads widen noticeably outside it.

Moves it

Everything that moves gold, amplified, plus industrial and solar demand data and the gold/silver ratio.

RISK NOTE Wider spreads and thinner books mean a stop that would be fine on gold is a coin flip here. Size off silver's own ATR, never gold's.

BTCUSD BITCOIN

Character

Trades 24/7, including the weekend, which makes it the only asset in the basket that can move while the plan is closed.

Best hours

US session for the largest moves; liquidity thins sharply on Sunday.

Moves it

ETF flow data, liquidation cascades, regulatory headlines, correlation with the Nasdaq during risk-off.

RISK NOTE Weekend risk is real and unhedgeable. Either close the position on Friday or size the weekend carry deliberately, at half of 1R.

DJIUSD DOW JONES 30

Character

Price-weighted, so a handful of high-priced constituents drive it. Gaps between the cash close and the next open.

Best hours

US cash session, 09:30 to 16:00 ET. Overnight index moves are thinner and less reliable.

Moves it

FOMC, CPI, NFP, index-heavyweight earnings, and month-end and quarter-end rebalancing flows.

RISK NOTE Overnight and weekend gaps can open beyond a stop. A held position is not capped at 1R once the cash market closes.

SECTION 06

Correlation: Why 5% Is Not Really 5%

Five positions of 1% each are only five independent risks if the five assets are independent. These five are not. Gold and silver are close to the same trade, and the Dow, oil and bitcoin all lean on the same risk appetite.

Working correlation map

PAIR	TYPICAL RELATIONSHIP	ROLLING 90-DAY RANGE	IMPLICATION
XAUUSD / XAGUSD	Strong positive	0.75 to 0.90	Effectively one trade in two wrappers. The single largest hidden risk in this basket.
DJIUSD / BTCUSD	Moderate positive	0.30 to 0.60	Tightens sharply in risk-off, exactly when you need the diversification.
WTIUSD / DJIUSD	Mild positive	0.20 to 0.45	Both track growth expectations - except when oil moves on supply, when the sign can flip.
XAUUSD / DJIUSD	Variable, often negative	-0.40 to +0.20	The genuine diversifier in the basket, though the relationship is unstable.
XAUUSD / BTCUSD	Weak and unreliable	-0.20 to +0.40	The "digital gold" correlation does not hold consistently. Do not size as though it does.

Ranges are indicative of typical regimes and shift over time. Recompute the rolling 90-day correlations monthly rather than trusting this table indefinitely.

Exposure caps that sit on top of the 1% rule

EXPOSURE CAP	
C1	Gold and silver in the same direction count as a single 1.5R exposure, not 2R. Take 0.75% on each, or take the better setup at a full 1% and skip the other.
C2	Maximum three positions in the same directional theme (risk-on: long DJI, long BTC, long WTI / risk-off: long gold, long silver, short DJI).
C3	Net directional heat is capped at 3.5R. If the five slots are all leaning the same way, the sixth constraint is the portfolio, not the setup.
C4	Two open positions into a shared macro event (FOMC, CPI, NFP) are one position for risk purposes. Halve both, or close one before the release.

THE PRACTICAL VERSION

Before the fifth position goes on, ask one question: **if the dollar rallies hard tomorrow, how many of these five lose at once?** If the answer is four or five, the account is not running five 1% risks. It is running one 4% risk wearing five different tickers, and the 1% rule has quietly stopped protecting you.

SECTION 07

The Cycle

One week, one pass through the five assets. The work is front-loaded into the weekend so that execution during the week is mechanical rather than improvised.

SUNDAY PREPARE

- Mark the week's economic calendar: FOMC, CPI, NFP, EIA Wednesday 10:30 ET, OPEC+ dates, index-heavyweight earnings.
- Chart all five assets on the higher timeframe. Mark the levels that matter before price is moving.
- Grade each asset A, B or C. A = clean structure, defined invalidation, a real 3R target. B = forming. C = no trade.
- Recalculate 1R from Friday's closing equity. Write the dollar figure at the top of the log.
- Set price alerts. You are waiting for the market to come to the level, not hunting for entries.

MONDAY - THURSDAY EXECUTE

- Trade A grades only. A B grade that has matured into an A during the week is eligible; a C never is.
- One position per asset. Entry, stop and target bracketed before the order is live.
- Confirm the 1:3 floor with the actual fill price, not the intended one. Slippage can break the ratio before the trade has begun.
- TP1 at 3R takes half off and moves the stop to break-even in the same action, not later.
- Two stop-outs on an asset closes it for the cycle (Rule 7). Do not backfill the empty slot with a different instrument.
- At -3R cumulative, stop for the week (Rule 8). The circuit breaker is not a suggestion.

FRIDAY CLOSE AND SCORE

- No new entries after 12:00 ET.
- Decide the weekend explicitly for every open position: close, halve, or hold with the gap risk accepted in writing.
- Oil and the Dow gap. Bitcoin trades straight through and can move 20% before Monday. Gold and silver reopen Sunday evening.
- Log every closed trade with its R multiple, its grade, and whether the plan was followed independently of whether it made money.
- Compute the week: total R, win rate, average winner, average loser, and how many trades broke a rule.

Weekly scorecard

METRIC	THIS CYCLE	READING
Total R for the cycle	_____ R	Target: positive. Any single week is noise.
Trades taken	_____ / 5	Fewer than five is normal. Five forced trades is not.
Win rate	_____ %	Compare against the break-even rate in Section 02.
Average winner / average loser	____ R / ____ R	The winner should be at least 2.5x the loser. If it is not, targets are being cut.
Rules broken	_____	The only number that must be zero.

SECTION 08

Cycle Log

One row per asset per week. Print it, or rebuild it in a spreadsheet - but Rule 9 means an unlogged trade did not happen.

Cycle beginning: ____ / ____ / ____ Opening equity: \$ _____ 1R this cycle: \$ _____

ASSET	GRD	DIR	ENTRY	STOP	SIZE	TP1 (3R)	TP2 (5R)	EXIT	RESULT (R)	RULES OK
XAUUSD										
WTIUSD										
XAGUSD										
BTCUSD										
DJIUSD										

Post-trade note - one per closed position

QUESTION	ANSWER
Why did I take it?	
Where exactly was the idea wrong?	
Did I follow the plan? (independent of the outcome)	
What would I repeat, and what would I not?	

GRADE THE PROCESS, NOT THE PROFIT

A trade that followed every rule and lost 1R is a good trade. A trade that broke Rule 1 and made 4R is a bad trade that got paid, and it is the single most dangerous entry in the log - it teaches the wrong lesson at exactly the moment you are most receptive to it. Mark the rules column honestly and read down it before every new cycle.

SECTION 09

Pre-Flight Checks

Run these in order. Any unticked box on the pre-trade list means the order does not get placed.

BEFORE THE ORDER

- ☐ Asset is graded A this cycle.
- ☐ This asset has no open position and fewer than two stop-outs this cycle.
- ☐ Entry, stop and target are all written down.
- ☐ Stop sits beyond structural invalidation, plus buffer.
- ☐ Measured reward-to-risk is at least 1:3 at the real fill.
- ☐ Position size solved from the formula, not estimated.
- ☐ Risk confirmed at 1.00% of Monday's equity.
- ☐ Correlation caps C1 to C4 still satisfied after this fill.
- ☐ No tier-one data release inside the trade's expected horizon.
- ☐ Total open heat after this fill is 5R or less.

WHILE IT IS OPEN

- ☐ Stop has not been widened. Not once.
- ☐ TP1 at 3R took half off.
- ☐ Stop moved to break-even the moment TP1 filled.
- ☐ Runner trailed behind structure, not behind hope.
- ☐ No new position on this asset while this one is live.

AT THE CYCLE'S END

- ☐ All five rows of the log completed.
- ☐ Total R, win rate and average winner and loser computed.
- ☐ Rule breaks counted and written down.
- ☐ Weekend exposure decided explicitly per position.
- ☐ Next cycle's 1R recalculated from closing equity.

CIRCUIT BREAKERS - CHECK EVERY DAY

- ☐ Cycle drawdown is better than -3R.
- ☐ Month-to-date drawdown is better than -6R.
- ☐ If -6R is breached: size is halved to 0.5% until a new equity high.
- ☐ Fewer than three consecutive losing weeks.
- ☐ If three: stop and audit the system before risking more capital.

The three ways this plan actually fails

FAILURE MODE	WHY IT IS FATAL
Widening the stop	The 1% rule stops being true the instant a stop moves away from price. One widened stop can cost what four disciplined losses cost, and it is almost always the trade you were most confident in.
Filling all five slots regardless	Five assets is a ceiling, not a quota. A cycle with two A-grade trades is a correctly executed cycle. Forcing three C-grade setups to "complete the week" is how a 5% ceiling becomes a 5% expected loss.
Treating correlated positions as diversified	Long gold and long silver into the same dollar move is a 2% bet on one idea, not two 1% bets on two. Section 06 exists because this is the failure that arrives disguised as good discipline.

IMPORTANT

This document is a risk-management and position-sizing framework prepared for educational purposes. It is not financial, investment or trading advice, and it contains no recommendation to buy or sell any instrument. Leveraged trading in commodities, indices and cryptocurrencies carries a high risk of loss, and losses can exceed deposits on some accounts. Contract specifications, spreads, financing costs and margin requirements vary by broker and must be verified independently before any position is sized. Correlation figures and volatility characteristics are indicative of typical historical regimes and change over time. Past performance does not indicate future results. Every expectancy figure in Section 02 is arithmetic conditional on an assumed win rate, not a projection of returns.